

CIVIL COURT OF THE CITY OF NEW YORK
COUNTY OF NEW YORK: HOUSING PART F
-----X
CHELSEA PARTNERS I, LLC,

Petitioner (Landlord),

Index No. L&T 081870/17

-against-

MARCELO ROMANO,
249 West 26th Street, Apt. 1A
New York, New York 10001

**NOTICE OF MOTION
SEEKING PENALTIES
PURSUANT TO CPLR § 3126**

Respondent (Tenant),
-and-

“JOHN DOE,”
Respondent (Undertenant).
-----X

PLEASE TAKE NOTICE that upon the annexed affirmation of Michael Pereira, Esq., dated October 15, 2020, the exhibits attached hereto, and the Memorandum of Law submitted herewith, and upon all the proceedings heretofore had herein, the undersigned will move this Court in Part F, located in the Courthouse at 111 Centre Street, Room 830, New York, New York on the **16th day of November 2020, at 9:30 am** in the forenoon of that day, or as soon thereafter as counsel can be heard, for: an order pursuant to CPLR § 3126, penalizing Petitioner for its failure to produce disclosure, in defiance of Orders from this Court; and for such other and further relief as this Court deems just and proper.

[DATE AND SIGNATURE LINE FOLLOWS ON THE NEXT PAGE]

Dated: October 15, 2020
New York, New York



Michael Pereira, Esq., of counsel to
Tiffany A. Liston, Esq.
Mobilization for Justice, Inc
Attorneys for Respondent
100 William Street, 6th Floor
New York, New York 10038
(212) 417-3864
mpereira@mfjlegal.org

To: Fischman & Fischman
Attorney(s) for Petitioner
305 Broadway, Suite 201
New York, New York 10007
(212) 274-0555

CIVIL COURT OF THE CITY OF NEW YORK
COUNTY OF NEW YORK: HOUSING PART F
-----X
CHELSEA PARTNERS I, LLC,

Petitioner (Landlord),

Index No. L&T 081870/17

-against-

AFFIRMATION OF SERVICE

MARCELO ROMANO,
249 West 26th Street, Apt. 1A
New York, New York 10001

Respondent (Tenant).
-----X

MICHAEL PEREIRA, an attorney admitted to practice in the courts of the State of New York, affirms:

1. I am a Staff Attorney at Mobilization for Justice, Inc., and not a party to this action.
2. On October 21, 2020 , I served a true copy of the attached NOTICE OF MOTION, and its accompanying papers, by email to Fischman & Fischman, *Attorney(s) for Petitioner*, at doreen.fischman@verizon.net.

Dated: October 21, 2020
New York, New York



Michael Pereira, of counsel to
Tiffany A. Liston, Esq.,
Mobilization for Justice, Inc.
Attorney for Respondent
100 William Street, 6th Floor
New York, New York 10038

CIVIL COURT OF THE CITY OF NEW YORK
COUNTY OF NEW YORK: HOUSING PART F

-----X
CHELSEA PARTNERS I, LLC,

Petitioner (Landlord),

Index No. L&T 081870/17

-against-

AFFIRMATION IN SUPPORT

MARCELO ROMANO,
249 West 26th Street, Apt. 1A
New York, New York 10001

Respondent (Tenant),

-and-

“JOHN DOE,”

Respondent (Undertenant).

-----X

MICHAEL PEREIRA, an attorney duly licensed to practice law in the Courts of the
State of New York, hereby affirms:

1. I am of counsel to Tiffany A. Liston, Esq., Mobilization for Justice, Inc., 100 Williams Street, 6th floor, New York, NY 10038, attorneys for Respondent Marcelo Romano.
2. I make this affirmation in support of Respondent’s motion pursuant to CPLR § 3126, seeking penalties against Petitioner for its failure to produce disclosure, in defiance of prior Court Orders.
3. As set forth below, in the annexed exhibits and annexed memorandum of law, this Court should grant Respondent’s motion in its entirety.

Background and Procedural History

4. This is a holdover proceeding where Petitioner alleges, in relevant part, that Respondent is a “month-to-month” tenant, whose use of the apartment “for residential living

purposes is illegal and in violation of the Certificate of Occupancy.” Exhibit A contains a copy of the Petition.

5. Respondent answers, *inter alia*: that his apartment is residential, notwithstanding Petitioner’s failure to obtain a valid residential certificate of occupancy; that his apartment is rent stabilized; and that Petitioner overcharged him, and that he overpaid, in excess of the legal regulated rent. Exhibit B contains a copy of Respondent’s Answer.

6. In March 2018, Respondent moved for leave to conduct discovery, seeking information relevant to his claims and defenses to substantiate whether the apartment is capable of being legalized for residential use; whether it is rent stabilized and whether the rents charged were legal.

7. By Order, dated October 12, 2018, this Court granted Respondent’s motion, in extent, “directing petitioner to respond to respondent’s Notice to Produce Documents” within 45 days from service of the notice of entry (the First Discovery Order). A copy of the First Discovery Order is attached as Exhibit C.

8. Over the following year, the parties engaged in motion practice, concerning *inter alia*, Respondent’s contention that Petitioner failed to adequately produce its disclosure. By Decision & Order, dated January 21, 2020 (the Second Discovery Order), Hon. Frances A. Ortiz, granted Respondent’s motion to compel, in relevant part, and directed Petitioner to:

- produce “outstanding responses [to Respondent’s counsel] within 30 days of the date of this decision and order[;]”
- explain contradictions “in a supplemental affidavit [,]” to explain why Petitioner once claims in an affidavit that “there are no tax credits related to the building[,]” but then also claimed in a prior affidavit that the “building received a J-51 tax abatement, after substantial rehabilitation[;] and

- “explain why it failed to provide copies of rent ledgers showing the rents in effect, when respondent first moved into the building and reasoning why no variances have been sought to legalize the unit.”

Exhibit D contains a copy of the Second Discovery Order.

9. Petitioner served Respondent with a Notice of Entry, for the Second Discovery Order, dated January 22, 2020, by regular mail.

10. Respondent, likewise, served Petitioner with a Notice of Entry, for the Second Discovery Order, dated January 23, 2020, by regular mail and email.

11. By notice of motion, dated February 21, 2020, Respondent subsequently moved for leave to reargue this Court’s Decision, dated January 21, 2020, but only to the limited extent that it denied his motion for summary judgment (the motion to reargue).

12. As of March 4, 2020, the parties completed their briefs on Respondent’s motion to reargue.

13. On March 5, 2020, the proceeding adjourned, as Judge Ortiz was unable to hear argument on that date.

14. On March 11, 2020, I sent Petitioner’s counsel an email, informing that Petitioner had not produced pursuant to the 30-day deadlines in the Second Discovery Order, and inquiring when such production would occur. Exhibit E contains a copy of that email.

15. All subsequent appearances were adjourned due to the coronavirus pandemic.

16. In June of 2020, I sent Petitioner’s counsel another email informing that Petitioner had not produced pursuant to the Second Discovery Order, inquiring when such production would occur and advising that Respondent would be forced to make the instant motion if no production occurred. Exhibit F contains a copy of that email.

17. The same month, Petitioner's counsel responded in an email, requesting more time to produce *inter alia* due to some personal circumstances.

18. At Petitioner's request, and as a professional courtesy, I re-sent the underlying discovery demands and Second Discovery Order via email.

19. To date, however, approximately eight months from the deadlines imposed by the Second Discovery Order, Petitioner has not produced any additional material.

WHEREFORE for all of the above reasons, and as set forth in the annexed memorandum of law, this Court should grant Respondent's motion, pursuant to CPLR § 3126, penalizing Petitioner for its failure to produce disclosure, in defiance of Orders from this Court; and for such other and further relief as this Court deems just and proper.

Dated: October 15, 2020
New York, New York



Michael Pereira, Esq., of counsel to
Jeanette Zelhof, Esq.
Mobilization for Justice, Inc.
Attorney for Respondent
100 William Street, 6th Floor
New York, New York 10038
(212) 417-3864

To: Fischman & Fischman
Attorney(s) for Petitioner
305 Broadway, Suite 201
New York, New York 10007
(212) 274-0555

CIVIL COURT OF THE CITY OF NEW YORK
COUNTY OF NEW YORK: HOUSING PART F
-----X
CHELSEA PARTNERS I, LLC,

Petitioner (Landlord),

Index No. L&T 081870/17

-against-

MARCELO ROMANO,
249 West 26th Street, Apt. 1A
New York, New York 10001

Respondent (Tenant)

-and-

“JOHN DOE,”

Respondent (Undertenant).

-----X

**MEMORANDUM OF LAW IN SUPPORT OF
RESPONDENT’S MOTION SEEKING PENALTIES
PURSUANT TO CPLR § 3126**

Michael Pereira, Esq., of counsel to
Tiffany A. Liston, Esq.
Mobilization for Justice, Inc.
Attorneys for Respondent
100 William Street, 6th Floor
New York, New York 10038
(212) 417-3864

PRELIMINARY STATEMENT

As set forth herein, Petitioner fails to disclose documents, and information, which this Court ordered it to produce, after granting Respondent a prior motion to compel. The outstanding information is important to Respondent to help him substantiate his claims and defenses, *inter alia*, that his apartment is rent stabilized and capable of being legalized for residential use, and that he was overcharged. Meanwhile, Petitioner is now approximately eight months past its deadlines and proffers no valid explanation for its failures to comply with this Court’s Order. Accordingly, this Court should penalize Petitioner, pursuant to CPLR § 3126, by deeming issues resolved in Respondent’s favor, and precluding Petitioner from introducing any new evidence, which was not yet disclosed.

STATEMENT OF FACTS AND PROCEDURAL HISTORY

The Court is respectfully referred to the annexed affirmation of Michael Pereira, dated October 15, 2020 (Pereira Affirm.), for a complete recitation of relevant facts and background.

ARGUMENT

**THE COURT SHOULD GRANT RESPONDENT’S MOTION
SEEKING PENALTIES**

“Parties should be able to obtain full disclosure of necessary and material information for the prosecution and defense of actions.” CPLR § 3101(a). When a party fails to disclose information that it was required to, the party seeking disclosure can move for penalties, which include deeming issues resolved in the movant’s favor, precluding the introduction of evidence and even “striking” the disobedient party’s pleadings. CPLR § 3126. These remedies are appropriate if the disobedient party’s conduct is “willful and contumacious” in defiance of a

discovery order. Emporium Mgt. Corp. v Reyes, 48 Misc. 3d 1227(A), 22 N.Y.S.3d 137 (Civ. Ct. Kings Cty. 2015)(finding “willful and contumacious” defiance in an overcharge case, where a landlord attempted to introduce evidence concerning apartment improvements, which were not produced in the course of the disclosure period).

In this case, Petitioner exhibits “willful and contumacious” defiance of this Court’s discovery orders. To wit, despite the fact that this Court ruled in Respondent’s favor on a prior motion to compel—via Order dated January 21, 2020 and required production of outstanding disclosure within 30 days (Ex. D, the Second Discovery Order)—Petitioner completely fails to comply with its obligations and produce anything new—even now, more than eight months later (Pereira Affirm. ¶¶ 8-19). Petitioner’s failure to comply is especially egregious given that the outstanding discovery relates to information that should have been produced almost two years ago, pursuant to this Court’s original discovery Order, dated October 12, 2018. (Ex. C, the First Discovery Order). It is also important to note that Petitioner’s deadline to produce expired before the coronavirus pandemic began, and Respondent contacted Petitioner about its failure to produce before the pandemic began (Pereira Affirm. ¶¶ 8-19).

Indeed, this Court granted Respondent’s prior motion to compel and specifically directed Petitioner to

- produce “outstanding responses [to Respondent’s counsel] within 30 days of the date of this decision and order[.]”
- explain contradictions “in a supplemental affidavit [.]” to explain why Petitioner once claims in an affidavit that “there are no tax credits related to the building[.]” but then also claimed in a prior affidavit that the “building received a J-51 tax abatement, after substantial rehabilitation[.] and

- “explain why it failed to provide copies of rent ledgers showing the rents in effect, when respondent first moved into the building and reasoning why no variances have been sought to legalize the unit.”

(Ex. D, the Second Discovery Order, pp. 8). This outstanding information is important to resolve fundamental underlying issues in this proceeding, including *inter alia*: whether Respondent’s apartment is rent stabilized, whether it is capable of being legalized for residential use, and whether he was overcharged (Ex. B, Verified Answer). Petitioner should have no difficulty producing this information, and has not provided any explanation, why it could not timely disclose (Pereira Affirm ¶¶ 8-19).

Petitioner’s failure to produce is especially concerning in light of the fact that Petitioner repeatedly makes inconsistent representations. For instance, as noted in this Court’s Second Discovery Order, Petitioner indicated in a discovery response “that there are no tax credits related to the building,” which contradicted a prior sworn statement, when Petitioner claimed that “the building received a J-51 tax abatement, after substantial rehabilitation” (Ex. D, p. 8). Likewise, as noted in the First Discovery Order, there were pleadings in a prior “non-payment case between the parties in which petitioner pleaded the premises as exempt from rent regulation due to exception based upon the legal regulated rent exceeding \$2500” (i.e. via high-rent deregulation), which is inconsistent with its pleadings in this case, where it pleads instead that the “premises was subject of a substantial rehabilitation” (Ex. C, p. 2).

Indeed, Petitioner’s prior claims, of high-rent deregulation or substantial rehabilitation—while inexplicably inconsistent (and completely unsupported by Petitioner’s document production)—both impliedly admit that the premises was (or should have been) rent-stabilized at

some point. See e.g. NYC RSC § 2520.11 et seq. Both of those earlier positions, of high-rent or substantial rehabilitation *deregulation*, contradict Petitioner’s current argument that the apartment could never have been rent-stabilized due to illegality (see e.g. Ex D, pp. 5-6). Petitioner’s willingness to repeatedly confuse the record with inconsistent false statements indicates that it has something to hide, and that its failures to comply with this Court’s discovery Orders are completely willful. See e.g. Transasia Commodities Inv. Ltd. v NewLead JMEG, LLC, 169 A.D.3d 591, 592 (N.Y. App. Div. 1st Dep’t 2019)(finding *inter alia* that a party’s “misleading statements made to the court” were indicative of willful behavior in ”frustrating discovery and delaying the action”).

For all these reasons, this Court should grant Respondent’s motion, seeking penalties pursuant to CPLR § 3126. More specifically, this Court should deem issues resolved in Respondent’s favor, concerning: (i) whether Petitioner ever sought a variance, or otherwise exhausted its remedies to legalize this apartment (Ex. D, pp. 5,8); (ii) whether Petitioner received J-51 benefits during relevant time periods (Ex. D, p. 8); and (iii) whether Petitioner’s rent ledgers would confirm that Respondent was overcharged during the relevant time periods (Ex. D, p. 8). Id. Likewise, this Court should preclude Petitioner from introducing responsive disclosure, which it failed to produce, at trial. Id.

CONCLUSION

For all these reasons, Respondent respectfully requests that this Court grant his motion in its entirety.

[DATE AND SIGNATURE LINE FOLLOW ON THE NEXT PAGE]

Dated: October 15, 2020
New York, New York



Michael Pereira, Esq., of counsel to
Tiffany A. Liston, Esq.
Mobilization for Justice, Inc.
Attorneys for Respondent
100 William Street, 6th Floor
New York, New York 10038
(212) 417-3864

To:

Fischman & Fischman
Attorney(s) for Petitioner
305 Broadway, Suite 201
New York, New York 10007
(212) 274-0555